

MINDTECK SOLUTION PHILIPPINES, INC.
STATEMENT OF FINANCIAL POSITION

	As at March 31, 2019		As at March 31, 2018	
ASSETS				
Current Assets				
Cash (Note 4)	P	5,53,507	P	8,18,487
Receivables (Note 5)	P	0	P	1,91,956
Prepayment and other current assets (Note 6)	P	5,42,528	P	7,49,722
Total Current Assets	P	10,96,036	P	17,60,165
Noncurrent Assets				
Property, Plant and equipment (Note 7)	P	3,036	P	6,11,397
TOTAL ASSETS	P	10,99,072	P	23,71,562
LIABILITIES AND EQUITY				
Current Liabilities				
Payables (Note 8)	P	28,388	P	22,391
Equity				
Capital Stock - PHP 1 par value per share				
Authorised - 10,000,000 shares				
Issued and outstanding - 9,400,000 shares	P	95,32,000	P	94,00,000
Retained Earnings	(P	84,61,317)	(P	70,50,829)
Total Equity	P	10,70,683	P	23,49,171
TOTAL LIABILITIES AND EQUITY	P	10,99,072	P	23,71,562

Approved and Signed by:


 Jacob Pillay
 Director

Place: Singapore

Date: 14th November 2019

MINDTECK SOLUTION PHILIPPINES, INC.
STATEMENT OF INCOME

	For the year ended March 31, 2019		For the year ended March 31, 2018	
REVENUE			P	0
COST OF SERVICE			P	0
GROSS PROFIT	P	0	P	0
OPERATING EXPENSES				
Personnel Cost	P	7,25,800	P	10,91,292
Rental	P	2,76,842	P	10,45,751
Dues and subscriptions	P	0	P	7,29,336
Representation and entertainment	P	0	P	2,76,287
Depreciation	P	51,555	P	1,80,754
Communication	P	14,605	P	64,181
Transportation and travel	P	21,683	P	56,171
Utilities	P	33,422	P	50,093
Professional fees	P	1,19,060	P	35,000
Fuel and Oil	P	0	P	27,348
Repairs and maintenance	P	2,675	P	18,180
Taxes and Licenses	P	22,950	P	17,558
Office Supplies	P	1,390	P	5,968
Bank Charges	P	3,106	P	700
Miscellaneous	P	2,33,099	P	2,622
	P	15,06,187	P	36,01,241
OTHER INCOME				
Interest Income	P	1,353	P	4,857
Profit on Sale of Fixed Asset	P	94,346	P	0
	P	95,699	P	4,857
NET LOSS	(P	14,10,489)	(P	35,96,384)

Approved and Signed by:


Jacob Pillay
 Director

Place: Singapore

Date: 14th November 2019

MINDTECK SOLUTION PHILIPPINES, INC.
NOTES TO FINANCIAL STATEMENTS

	As at March 31, 2019		As at March 31, 2018	
4. Cash				
Cash on Hand	P	5,53,507	P	8,18,487
5. Receivables				
Advances to affiliates	P	0	P	1,91,956
6. Prepayment and Other Current Assets				
Prepaid Rent	P	0	P	1,71,842
Input VAT	P	5,42,528	P	3,27,812
Refundable rent deposit	P	0	P	2,50,068
	P	5,42,528	P	7,49,722

7. Property, Plant and Equipment

	Leasehold Improvement		Office Furniture		Office Equipment		Total
<i>As of March 31, 2019</i>							
Cost							
Beginning Balance	P	6,13,499	P	1,85,901	P	1,04,372	P 9,03,772
Additions	P	0				P	0
Disposal of Asset	(P	6,13,499)	(P	1,85,901)	(P	49,894)	(P 8,49,294)
Ending Balance	P	0	P	0	P	54,478	P 54,478
Accumulated Depreciation							
Beginning Balance	P	1,97,732	P	58,869	P	35,774	P 2,92,375
Depreciation	P	7,350	P	21,972	P	22,233	P 51,555
Disposal of Asset	(P	2,05,082)	(P	80,841)	(P	6,565)	(P 2,92,488)
Ending Balance	P	0	P	0	P	51,442	P 51,442
Book Value	P	0	P	0	P	3,036	P 3,036

<i>As of March 31, 2018</i>							
Cost							
Beginning Balance	P	6,13,499	P	1,85,901		104372	P 9,03,772
Ending Balance	P	6,13,499	P	1,85,901	P	1,04,372	P 9,03,772
Accumulated Depreciation							
Beginning Balance	P	75,032	P	21,689		14900	P 1,11,621
Depreciation	P	1,22,700	P	37,180		20874	P 1,80,754
Ending Balance	P	1,97,732	P	58,869	P	35,774	P 2,92,375
Book Value	P	4,15,767	P	1,27,032	P	68,598	P 6,11,397

	As at March 31, 2019		As at March 31, 2018	
8. Payables				
Government agencies remittances	P	19,876	P	22,391
Payables Others	P	8,512	P	0
	P	28,388	P	22,391

MINDTECK SOLUTION PHILIPPINES, INC.
NOTES TO FINANCIAL STATEMENTS

1 Corporate Information

Mindteck Solutions Philippines, Inc. (the Company) is a domestic corporation duly organized and existing under the laws of the Republic of the Philippines. It was registered With the Security and Exchange Commission on March 8, 2016 to engage in the business of development of computer software and hardware, including maintenance thereof, data communication, handling and managing computer data, data processing, data storage and related services like contracting, programing, Information technology consultancy, hardware supply, delivery and maintenance and doing any and all things necessary.

The Company's principal address is at Unit 802, The BSA twin Towers, Bank Drive, Ortigas Center, Brgy. Wack-wack, Mandaluyong City.

2 Summary of Significant Accounting Policies

The principal accounting policies applied in the preparation of financial statements are set out below:

Basis of Preparation

The accompanying financial of the Company have been prepared on a historical cost basis and are presented in Philippine pesos. All values are rounded to the nearest peso, except when otherwise indicated.

Statement of Compliance

The Company's financial Statements have been prepared in accordance with the Philippine Financial Reporting Standards for Small and Medium-sized Entities (PERS for SMEs).

Cash

Cash includes cash on hand and in banks. Interest income earned on bank accounts is presented net of final tax.

Receivables

Trade and other receivables are recognized initially at the transaction price. They are subsequently measured at amortized cost using the effective interest method, less provision for impairment. A provision for impairment of trade and other receivables is established when there is objective evidence that the Company will not be able to collect all amounts due according to the original terms of the receivables.

Prepayments

Prepayments are expenses paid in advance and recorded as asset before they are utilized. This account comprises of prepaid insurance premiums and other prepaid items and creditable withholding taxes. Prepaid insurance premiums and other prepaid items are apportioned over the period covered by the payment and charged to the appropriate accounts in profit or loss when Incurred. Creditable withholding tax is deducted from income tax payable.

Property, Plant and Equipment

Property and equipment are stated at historical cost accumulated depreciation, amortization and any accumulated impairment losses.

The Company adds to the carrying amount of an item of property and equipment the cost of replacing parts of such an item when that cost is incurred if the replacement part is expected to provide Incremental future benefits to the Company. The carrying amount of the replaced part is derecognized. All other repairs and maintenance are charged to profit and loss during the period in which they are incurred.

Depreciation on other assets is charged so as to allocate the cost of assets less their residual value over their estimated useful lives, using the straight-line method.

The assets residual values, useful lives and depreciation and amortization methods are reviewed, and adjusted prospectively if appropriate, if there is an indication of significant change since the last reporting date.

An asset's carrying amount is written down immediately to its recoverable amount if the asset's carrying amount is greater than its estimated recoverable amount.

Gains and losses on disposals are determined by comparing the proceeds with the carrying amount and are recognized within 'other income (charges) - net' in the statement of income and retained earnings.

Impairment of Non-Financial Assets

Assets that are subject to depreciation or amortization are assessed at each reporting date to determine whether there is any indication that the assets are impaired. Where there is any indication that an asset may be impaired, the carrying value of the asset (or cash-generating unit to which the asset has been allocated) is tested for impairment. An impairment loss is recognized for the amount by which the asset's carrying amount exceeds the recoverable amount. The recoverable amount is the higher of an asset's (or CGLPS) fair value less costs to sell and value in use. For the purposes of assessing impairment, assets are grouped at the lowest levels for which there are separately identifiable cash flows (CGLJS). Non-financial assets other than goodwill that suffered an impairment are reviewed for possible reversal of the impairment at each reporting date.

Payables

Trade payables - me liabilities to pay for goods or services that have been received or supplied and have been invoiced or formally agreed with the supplier. Trade payables are non-interest bearing and initially at the transaction price and subsequently measured at amortized cost using the effective interest method.

Other payables - includes accruals which are liabilities to pay for goods or services that have been received or supplied but have not been paid, invoiced or formally agreed with the supplier, including amount due to employees and to government agencies. It is necessary to estimate the amount or timing of accruals, however, the uncertainty is generally much less than for provisions.

Value-added Tax (VAT)

Revenues, expenses, assets and liabilities recognized net off the amount of VAT, except where the VAT incurred on a purchase of assets or services is not recoverable from the taxation authority, in which case the VAT is recognized as part of the cost of acquisition of the asset or as part of the expense item applicable.

The net amount Of VAT recoverable from, or payable to, the taxation authority is included as part of "Other current assets" or "Trade and Other payables" in the balance sheet.

Equity

Capital stock is recognized as issued When the share is paid for or subscribed under a binding subscription agreement and is measured at par value.

Retained Earnings

Retained earnings represent the Cumulative balance of net income or loss, dividend distributions, effects of changes in accounting policy and other capital adjustments.

Revenue Recognition

Revenue is measured at fair value of the consideration received or receivable and represents amount receivable for the services provided in the normal course of the Company's ordinary activities, net Of discounts, sales related taxes.

The Company recognizes revenue when the amount of revenue and related cost can be reliably measured, it is probable that the collectability of the related receivables is reasonably assured and when the specific criteria for each of the Company's ordinary activities are met as follows:

- i. Professional services are revenue from fixed price contracts is recognized under the percentage-of-completion method.
- ii. Annual maintenance Support and network are revenue on a straight-line basis over the term of the contracts.

Interest Income

Interest is recognized as the interest accrues on a time proportion basis taking into account the effective yield on the asset.

Cost of service

Cost of services includes the software development and service costs, as well as costs that are directly attributable in the services performed.

Operating Expenses

Operating expenses constitutes cost of administering the business. These are recognized as expenses when it is probable that a decrease in future economic benefits related to a decrease in an asset or an increase in a liability has occurred and the decrease in economic benefits can be measured reliably.

Operating Lease

Leases of office premise where substantially all risks and rewards incidental to ownership are retained by the lessors are classified as operating leases. Payments made under operating leases (net of any incentives received from the lessors) are recognized in profit or loss on a straight-line basis over the period of the lease.

Income Taxes

Income tax on profit or loss for the year comprises current and deferred tax. Income tax is determined in accordance with Philippine tax laws. Income tax is recognized in the profit and loss, except to the extent that it relates to items recognized directly in other comprehensive income.

Current income tax

Current income tax is the expected tax payable on the taxable income for the period using the tax rate enacted at the statement of financial position date, together with adjustments to tax payable in respect to prior years.

Deferred income tax is provided, using the balance sheet liability method, on all temporary differences at the statement of financial position date between the tax bases of assets and liabilities and their carrying amounts for financial reporting purpose.

Deferred tax liabilities are recognized for all taxable temporary differences, including asset revaluation. Deferred tax assets are recognized for all the deductible temporary differences, carry forward of unused tax credits from excess minimum corporate income tax (MCIT) over the regular income tax (RCIT) and unused net operating loss carryover (NOLCO), to the extent that it is probable that taxable profit will be available against the deductible temporary differences and carry forward of unused MCIT and unused NOLCO be utilized.

The carrying amount of deferred tax assets is reviewed at each statement of financial position date and reduced to the extent that it is no longer probable that sufficient taxable profit will be available to allow all or part of deferred income tax asset to be utilized. Unrecognized deferred tax assets are reassessed at each statement of financial position date and are recognized to the extent that it has become probable that future taxable profits will allow the deferred tax assets to be recovered.

Deferred tax assets and deferred tax liabilities are offset if a legally enforceable right exists to set off current tax assets against current tax liabilities and deferred taxes related to the same taxable Company and the same taxation authority.

Deferred tax assets and liabilities are measured at the tax rates that are applicable to the period when the asset is realized or liability is settled, based on tax rates (and tax laws) that have been enacted or substantively enacted at the statement of financial position date.

Events After Statement of Financial Position Date

Any post year-end events that provide additional information about the Company's financial position at the statement of financial position date (adjusting events), are reflected in the financial statements. Post year-end events that are not adjusting events, if any, are disclosed when material, in the notes to the financial statements.

3 Critical Estimates and Judgments

In preparation of the financial statements in conformity with PFRS for SME's requires management to make estimates and assumptions that affect the amounts reported in the financial statements and accompanying notes. The estimates and assumptions used in the accompanying financial statements are based on management's evaluation of relevant facts and circumstances as of the date of the financial statements. Actual results could differ from such estimates.

Judgements

In the process of applying Company's management has made the following judgements, apart from those involving estimation, which have the most significant effect on the amounts recognized in the financial statements:

Going Concern

The management of the Company has made an assessment of the Company's ability to as a going concern and is satisfied that the Company has the resources to continue in business for the foreseeable future. Furthermore, the Company is not aware of any material uncertainties that may cast significant doubts upon the Company's ability to continue as going concern. Therefore, the financial statements continue to be prepared on a going concern basis.

Estimates

The following are the key assumptions concerning the future, and other key sources of estimation uncertainty at the statement of financial position date, that have a significant risk of causing a material adjustment to the carrying amount of assets and liabilities within the next financial year.

Impairment of Property and Equipment

The Company assesses impairment of its property and equipment whenever events or changes in circumstances indicate that the carrying amount of an asset may not be recoverable.

During the year, the Company has not determined any impairment indicators on its property and equipment.